

BURLINGTON COMMUNITY SCHOOL DISTRICT
INDEPENDENT AUDITOR'S REPORTS
BASIC FINANCIAL STATEMENTS AND
SUPPLEMENTARY INFORMATION
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
JUNE 30, 2020

Table of Contents

	<u>Page</u>
Officials	3
Independent Auditor's Report	4-5
Management's Discussion and Analysis	7-15
Basic Financial Statements:	<u>Exhibit</u>
Government-wide Financial Statements:	
Statement of Net Position	A 18
Statement of Activities	B 19
Governmental Fund Financial Statements:	
Balance Sheet	C 20
Reconciliation of the Balance Sheet - Governmental Funds to the Statement of Net Position	D 21
Statement of Revenues, Expenditures and Changes in Fund Balances	E 22
Fund Balances	E 22
Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances - Governmental Funds to the Statement of Activities	F 23
Proprietary Fund Financial Statements:	
Statement of Net Position	G 24
Statement of Revenues, Expenditures and Changes in Fund Net Position	H 25
Net Position	H 25
Statement of Cash Flows	I 26
Fiduciary Fund Financial Statements:	
Statement of Fiduciary Net Position	J 27
Statement of Changes in Fiduciary Net Position	K 28
Notes to Financial Statements	29-44
Required Supplementary Information:	
Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in Balances - Budget and Actual - All Governmental Funds and Proprietary Funds	46
Notes to Required Supplementary Information - Budgetary Reporting	47
Schedule of the District's Proportionate Share of the Net Pension Liability	48
Schedule of District Contributions	49
Notes to Required Supplementary Information - Pension Liability	50
Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes	51
Supplementary Information:	<u>Schedule</u>
Nonmajor Governmental Funds	
Combining Balance Sheet	1 54
Combining Schedule of Revenues, Expenditures and Changes in Fund Balances	2 55
Capital Projects Fund Accounts:	
Combining Balance Sheet	3 56
Combining Schedule of Revenues, Expenditures and Changes in Fund Balances	4 57
Schedule of Changes in Special Revenue Fund, Student Activity Accounts	5 58-59
Schedule of Changes in Special Revenue Fund, Support Trust Accounts	6 60
Schedule of Changes in Private Purpose Trust Fund, Scholarship Accounts	7 61
Schedule of Revenues by Source and Expenditures by Function - All Governmental Funds	8 62
Schedule of Expenditures of Federal Awards	9 63
Independent Auditor's Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with <u>Government Auditing Standards</u>	64-65
Independent Auditor's Report on Compliance for Each Major Federal Program and on Internal Control over Compliance Required by the Uniform Guidance	66-67
Schedule of Findings and Questioned Costs	68-71

Burlington Community School District

Officials

<u>Name</u>	<u>Title</u>	<u>Term Expires</u>
Board of Education (Before November 2019 Election)		
Bryan Bross	President	2019
Darven Kendell	Vice President	2021
Dean Vickstrom	Board Member	2021
Tom Courtney	Board Member	2021
Marlis Robberts	Board Member	2019
Heather Brueck	Board Member	2019
Deborah Hatteberg	Board Member	2019
Board of Education (After November 2019 Election)		
Dean Vickstrom	President	2021
Tom Courtney	Vice President	2021
Darven Kendall	Board Member	2021
Deborah Hatteberg	Board Member	2023
Nancy Hoelzen	Board Member	2023
Joel Sieren	Board Member	2023
Anika McVay	Board Member	2023
School Officials		
Patrick Coen	Superintendent	2020
Greg Reynolds	Board Secretary/Treasury	2020
Ahlers & Cooney, P.C.	Attorney	2020
Lynch Dallas, P.C.	Attorney	2020

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Certified Public Accountants
(a professional corporation)
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Telephone (641) 792-1910

Independent Auditor's Report

To the Board of Education of Burlington Community School District:

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business type activities, each major fund and the aggregate remaining fund information of Burlington Community School District, Burlington, Iowa, as of and for the year ended June 30, 2020, and the related Notes to Financial Statements, which collectively comprise the District's basic financial statements listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with U.S. generally accepted accounting principles. This includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with U.S. generally accepted auditing standards and the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the District's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, business type activities, each major fund, and the aggregate remaining fund information of Burlington Community School District as of June 30, 2020, and the respective changes in its financial position and, where applicable, its cash flows thereof for the year then ended in accordance with U.S. generally accepted accounting principles.

Members American Institute & Iowa Society of Certified Public Accountants

Other Matters

Required Supplementary Information.

U.S generally accepted accounting principles require Management's Discussion and Analysis, the Budgetary Comparison Information, the Schedule of the District's Proportionate Share of the Net Pension Liability, the Schedule of District Contributions and the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes on pages 7 through 15 and 46 through 51 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board which considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with U.S. generally accepted auditing standards, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise Burlington Community School District's basic financial statements. We previously audited, in accordance with the standards referred to in the third paragraph of this report, the financial statements for the nine years ended June 30, 2019 (which are not presented herein) and expressed unmodified opinions on those financial statements. The supplementary information included in Schedules 1 through 9, including the Schedule of Expenditures of Federal Awards required by Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance), is presented for purposes of additional analysis and is not a required part of the basic financial statements.

The supplementary information, including the Schedule of Expenditures of Federal Awards, is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with U.S. generally accepted auditing standards. In our opinion, the supplementary information, including the Schedule of Expenditures of Federal Awards, is fairly stated in all material respects in relation to the basic financial statements taken as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with Government Auditing Standards, we have also issued our report dated March 15, 2021, on our consideration of Burlington Community School District's internal control over financial reporting and our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with Government Auditing Standards in considering Burlington Community School District's internal control over financial reporting and compliance.


NOLTE, CORNMAN & JOHNSON, P.C.

March 15, 2021
Newton, Iowa



Burlington Community School District

MANAGEMENT'S DISCUSSION AND ANALYSIS

Burlington Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2020. We encourage readers to consider this information in conjunction with the District's financial statements, which follow.

2020 FINANCIAL HIGHLIGHTS

- The District's total net position increased from \$58,878,692 at June 30, 2019 to \$60,687,382 at June 30, 2020. Total revenues decreased 1.50% from \$59,421,626 in fiscal year 2019 to \$58,530,673 in fiscal year 2020, while total expenses increased 0.58% from \$56,392,938 in fiscal year 2019 to \$56,721,983 in fiscal year 2020. Revenues from property taxes decreased \$612,569 compared to the prior year contributing to the decrease in total revenues. The increase in expenses occurred mainly in the instruction function.
- The District's General Fund revenues decreased from \$50,470,332 in fiscal year 2019 to \$49,347,880 in fiscal year 2020, while General Fund expenditures decreased from \$49,874,915 in fiscal year 2019 to \$49,365,102 in fiscal year 2020. The District's General Fund balance decreased from \$13,391,068 at June 30, 2019 to \$13,373,846 at June 30, 2020, a 0.13% decrease from the prior year.
- The decrease in fiscal year 2020 General Fund revenues is due primarily to a decrease local taxes received while the decrease in expenditures was due primarily to a decrease in regular instruction costs incurred compared to the prior year.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

The Government-wide Financial Statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Burlington Community School District as a whole and present an overall view of the District's finances.

The Fund Financial Statements tell how governmental and business type activities were financed in the short term as well as what remains for future spending. Fund financial statements report Burlington Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining financial statements provide information about activities for which Burlington Community School District acts solely as an agent or custodian for the benefit of those outside of the School District.

Notes to Financial Statements provide additional information essential to a full understanding of the data provided in the basic financial statements.

Required Supplementary Information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes.

Supplementary Information provides detailed information about the nonmajor governmental funds. In addition, the Schedule of Expenditures of Federal Awards provides details of various federal programs benefiting the District.

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

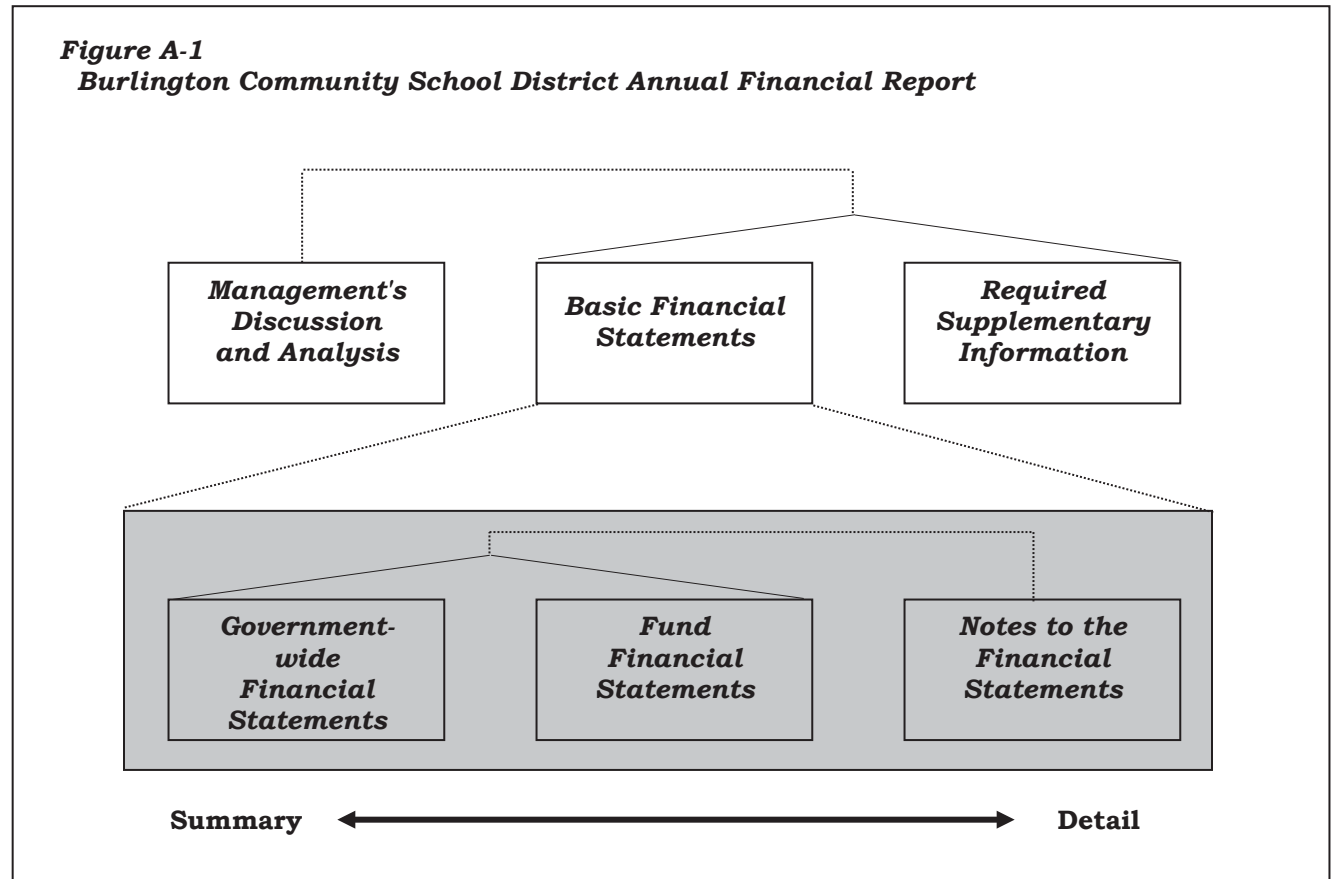


Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2				
Major Features of the Government-Wide and Fund Financial Statements				
	Government-wide Statements	Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire district (except fiduciary funds)	The activities of the district that are not proprietary or fiduciary, such as special education and building maintenance	Activities the district operates similar to private businesses: food service and student construction	Instances in which the district administers resources on behalf of someone else, such as scholarship programs
Required financial statements	- Statement of net position - Statement of activities	- Balance sheet - Statement of revenues, expenditures, and changes in fund balances	- Statement of net position - Statement of revenues, expenses and changes in fund net position - Statement of cash flows	- Statement of fiduciary net position - Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of deferred outflow / inflow information	Consumption/acquisition of net position that is applicable to a future reporting period	Consumption/ acquisition of fund balance that is applicable to a future reporting period	Consumption/ acquisition of net position that is applicable to a future reporting period	Consumption/ acquisition of net position that is applicable to a future reporting period.
Type of inflow/ outflow information	All revenues and expenses during year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide financial statements report the District's net position and how it has changed. Net Position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional non-financial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities, need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

- *Governmental activities*: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.
- *Business type activities*: The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds - not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

- 1) *Governmental funds*: Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

The District's governmental funds include the General Fund, the Special Revenue Funds, the Debt Service Fund and the Capital Projects Fund.

The required financial statements for the governmental funds include a Balance Sheet and a Statement of Revenues, Expenditures and Changes in Fund Balances.

- 2) *Proprietary funds*: Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Funds, one type of proprietary fund, are the same as its business type activities, but provide more detail and additional information, such as cash flows. The District currently has two Enterprise Funds, the School Nutrition Fund and the Student Construction Fund. The District's Internal Service Fund, another type of proprietary fund, is the same as the governmental activities, but provides more detail and additional information, such as cash flows. The District currently has one Internal Service Fund used to report activities associated with the District's employee cafeteria benefit plan.

The required financial statements for proprietary funds include a Statement of Net Position, a Statement of Revenues, Expenses and Changes in Fund Net Position and a Statement of Cash Flows.

- 3) *Fiduciary funds*: The District is the trustee, or fiduciary, for assets that belong to others. This fund includes the Private Purpose Trust Fund.

- Private Purpose Trust Fund - The District accounts for outside donations for scholarships for individual students in this fund.

The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds include a Statement of Fiduciary Net Position and a Statement of Changes in Fiduciary Net Position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Figure A-3 below provides a summary of the District's net position at June 30, 2020 compared to June 30, 2019.

Figure A-3 Condensed Statement of Net Position							
	Governmental Activities		Business Type Activities		Total District		Total Change
	June 30,		June 30,		June 30,		June 30,
	2020	2019	2020	2019	2020	2019	2019-20
Current and other assets	\$ 52,224,198	50,253,730	625,099	769,435	52,849,297	51,023,165	3.58%
Capital assets	72,910,493	74,285,703	119,572	145,585	73,030,065	74,431,288	-1.88%
Total assets	125,134,691	124,539,433	744,671	915,020	125,879,362	125,454,453	0.34%
Deferred outflows of resources	5,556,060	6,613,868	128,068	154,021	5,684,128	6,767,889	-16.01%
Long-term liabilities	43,674,252	47,639,494	530,951	589,424	44,205,203	48,228,918	-8.34%
Other liabilities	7,366,162	7,507,428	100,549	72,996	7,466,711	7,580,424	-1.50%
Total liabilities	51,040,414	55,146,922	631,500	662,420	51,671,914	55,809,342	-7.41%
Deferred inflows of resources	19,099,715	17,476,437	104,479	57,871	19,204,194	17,534,308	9.52%
Net position:							
Net investment in capital assets	52,670,493	52,135,703	119,572	145,585	52,790,065	52,281,288	0.97%
Restricted	17,105,965	14,705,726	-	-	17,105,965	14,705,726	16.32%
Unrestricted	(9,225,836)	(8,311,487)	17,188	203,165	(9,208,648)	(8,108,322)	-13.57%
Total net position	\$ 60,550,622	58,529,942	136,760	348,750	60,687,382	58,878,692	3.07%

The District's total net position increased 3.07%, or \$1,808,690, from the prior year.

The largest portion of the District's net position is invested in capital assets (e.g., land, infrastructure, intangibles, buildings and equipment), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position increased \$2,400,239, or 16.32%, from the prior year. The increase in restricted net position is primarily a result of the increase in the amount restricted for school infrastructure when compared to the prior year.

Unrestricted net position - the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements - decreased \$1,100,326, or 13.57%. This decrease in unrestricted net position was primarily the result of the decrease in the District's unassigned General Fund balance.

Figure A-4 shows the changes in net position for the year ended June 30, 2020 compared to the year ended June 30, 2019.

Figure A-4 Changes in Net Position							
	Governmental Activities		Business Type Activities		Total District		Total Change
	2020	2019	2020	2019	2020	2019	2019-20
Revenues:							
Program revenues:							
Charges for service	\$ 1,135,567	1,371,284	256,228	344,688	1,391,795	1,715,972	-18.89%
Operating grants, contributions and restricted interest	7,175,619	6,823,633	1,253,669	1,373,295	8,429,288	8,196,928	2.83%
General revenues:							
Property tax	14,669,263	15,281,832	-	-	14,669,263	15,281,832	-4.01%
Statewide sales, services and use tax	4,291,152	4,381,641	-	-	4,291,152	4,381,641	-2.07%
Unrestricted state grants	29,156,463	29,162,761	-	-	29,156,463	29,162,761	-0.02%
Unrestricted investment earnings	428,442	552,896	6,432	12,200	434,874	565,096	-23.04%
Other	135,303	108,630	22,535	8,766	157,838	117,396	34.45%
Total revenues	56,991,809	57,682,677	1,538,864	1,738,949	58,530,673	59,421,626	-1.50%
Program expenses:							
Instruction	35,613,236	34,951,020	-	-	35,613,236	34,951,020	1.89%
Support services	14,623,465	14,855,976	-	-	14,623,465	14,855,976	-1.57%
Non-instructional programs	23,010	21,620	1,750,854	1,736,938	1,773,864	1,758,558	0.87%
Other expenses	4,711,418	4,827,384	-	-	4,711,418	4,827,384	-2.40%
Total expenses	54,971,129	54,656,000	1,750,854	1,736,938	56,721,983	56,392,938	0.58%
Excess (Deficiency) of revenues over (under) expenses	2,020,680	3,026,677	(211,990)	2,011	1,808,690	3,028,688	-40.28%
Transfers	-	110,000	-	(110,000)	-	-	0.00%
Change in net position	2,020,680	3,136,677	(211,990)	(107,989)	1,808,690	3,028,688	-40.28%
Net position beginning of year	58,529,942	55,393,265	348,750	456,739	58,878,692	55,850,004	5.42%
Net position end of year	\$ 60,550,622	58,529,942	136,760	348,750	60,687,382	58,878,692	3.07%

In fiscal year 2020, property tax, statewide sales, services and use tax and unrestricted state grants accounted for 84.43% of the governmental activities revenues while charges for service and operating grants, contributions and unrestricted interest accounted for 98.12% of the business type activities revenues.

The District's total revenues were approximately \$58.53 million, of which approximately \$56.99 million was for governmental activities and approximately \$1.54 million was for business type activities.

As shown in Figure A-4, the District as a whole experienced a 1.50% decrease in revenues and a 0.58% increase in expenses. The primary reason for the decrease in revenues was a decrease in property taxes received. The increase in expenses occurred mainly in the instruction functional area compared to the prior year.

Governmental Activities

Revenues for governmental activities were \$56,991,809 and expenses were \$54,971,129 for the year ended June 30, 2020.

The following table presents the total and net cost of the District's major governmental activities, instruction, support services, non-instructional programs and other expenses, for the year ended June 30, 2020 compared to those expenses for the year ended June 30, 2019.

Figure A-5 Total and Net Cost of Governmental Activities						
	Total Cost of Services			Net Cost of Services		
	2020	2019	Change 2019-20	2020	2019	Change 2019-20
Instruction	\$ 35,613,236	34,951,020	1.89%	30,117,590	29,088,043	3.54%
Support services	14,623,465	14,855,976	-1.57%	13,801,330	14,524,453	-4.98%
Non-instructional programs	23,010	21,620	6.43%	14,240	13,070	8.95%
Other expenses	4,711,418	4,827,384	-2.40%	2,726,783	2,835,517	-3.83%
Total	<u>\$ 54,971,129</u>	<u>54,656,000</u>	<u>0.58%</u>	<u>46,659,943</u>	<u>46,461,083</u>	<u>0.43%</u>

For the year ended June 30, 2020:

- The cost financed by users of the District's programs was \$1,135,567.
- Federal and state governments along with contributions from local sources subsidized certain programs with grants and contributions totaling \$7,175,619.
- The net cost of governmental activities was financed with \$14,669,263 in property tax, \$4,291,152 in statewide sales, services and use tax, \$29,156,463 in unrestricted state grants, \$428,442 in interest income, and \$135,303 in other general revenues

Business Type Activities

Revenues of the District's business type activities during the year ended June 30, 2020 were \$1,538,864, an 11.51% decrease from the prior year, and expenses were \$1,750,854, a 0.80% increase from the prior year. The District's business type activities include the School Nutrition Fund and Student Construction Fund. Revenues of these activities were comprised of charges for service, federal and state reimbursements, donations, investment and other income.

INDIVIDUAL FUND ANALYSIS

As previously noted, the Burlington Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$29,080,160, above last year's ending combined fund balances of \$26,788,435. The increase in combined fund balances is largely due to the increase in the Capital Projects: Statewide Sales, Services and Use Tax Fund balance.

Governmental Fund Highlights

- The General Fund balance decreased from \$13,391,068 at June 30, 2019 to \$13,373,846 at June 30, 2020. Revenues decreased from the prior year primarily due to a decrease in revenues from local sources; expenditures for the year decreased due in part to a decrease in instruction costs incurred.
- The Capital Projects Fund balance increased from \$6,998,026 at June 30, 2019 to \$8,196,884 at June 30, 2020. Revenues and expenditures decreased from the prior year. However, revenues outpaced expenditures leading to the increase in fund balance.

- The Debt Service Fund increased from \$3,830,035 at June 30, 2019 to \$4,129,212 at June 30, 2020. The Debt Service Fund is used to record principal and interest payments on the District's long-term debt.
- The Management Levy Service Fund balance increased from \$1,489,101 at the end of fiscal year 2019 to \$2,326,639 at the end of fiscal year 2020. The increase in Management Levy Fund was due to an increase in local source revenue.

Proprietary Fund Highlights

The School Nutrition Fund net position decreased from \$332,651 at June 30, 2019 to \$105,661 at June 30, 2020, representing a decrease of 68.24%. Revenues from charges for service decreased \$88,460, or 25.66%, from the prior year as total expenses increased compared to the prior year. The net position of the Student Construction Fund increased from \$16,099 at June 30, 2019 to \$31,099 at June 30, 2020.

BUDGETARY HIGHLIGHTS

The District's revenues were \$2,013,177 less than budgeted revenues, a variance of 3.33%. The most significant dollar variance resulted from the District receiving less from state sources than originally anticipated.

Total expenditures were less than budgeted, primarily due to the District's budget for the General Fund. It is the District's practice to budget expenditures using realistic projections based from prior year expenditures with a buffer built as to not exceed the annual budget. The District then manages or controls General Fund spending through its line-item budget. As a result, the District's certified budget should always exceed actual expenditures for the year.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets

At June 30, 2020, the District had invested approximately \$73.03 million, net of accumulated depreciation, in a broad range of capital assets, including land, buildings, athletic facilities, computers, audio-visual equipment and transportation equipment. (See Figure A-6) This represents a net decrease of 1.88% from last year. More detailed information about the District's capital assets is presented in Note 5 to the financial statements. Depreciation expense for the year was \$2,603,855.

The original cost of the District's capital assets was approximately \$121.17 million. Governmental activities accounted for approximately \$120.45 million of the total with the remainder of approximately \$0.72 million accounted for in the Proprietary, School Nutrition Fund.

The largest change in capital asset activity during the year occurred in the buildings category. The District's buildings, net of accumulated depreciation, totaled \$65,147,431 at June 30, 2020, compared to \$66,447,995 reported at June 30, 2019. This decrease resulted primarily from the annual depreciation expense recognized during the year.

Figure A-6 Capital Assets, Net of Depreciation							
	Governmental Activities		Business Type Activities		Total District		Total Change
	June 30,		June 30,		June 30,		June 30,
	2020	2019	2020	2019	2020	2019	2019-20
Land	\$ 3,036,734	3,036,734	-	-	3,036,734	3,036,734	0.00%
Construction in progress	104,777	47,956	-	-	104,777	47,956	118.49%
Buildings	65,147,431	66,447,995	-	-	65,147,431	66,447,995	-1.96%
Land improvements	1,193,998	1,053,958	-	-	1,193,998	1,053,958	13.29%
Machinery and equipment	3,427,553	3,699,060	119,572	145,585	3,547,125	3,844,645	-7.74%
Total	<u>\$ 72,910,493</u>	<u>74,285,703</u>	<u>119,572</u>	<u>145,585</u>	<u>73,030,065</u>	<u>74,431,288</u>	<u>-1.88%</u>

Long-Term Debt

At June 30, 2020, the District had \$20,240,000 of total long-term debt outstanding. This represents a decrease of 8.62% from last year. (See Figure A-7) Additional information about the District's long-term debt is presented in Note 6 to the financial statements.

The District had outstanding revenue bonded indebtedness of \$20,240,000 at June 30, 2020, payable from the Capital Projects: Statewide Sales, Services and Use Tax Fund.

Figure A-7			
Outstanding Long-Term Obligations			
Total District		Total Change	
June 30,		June 30,	
2020	2019	2019-20	
Revenue bonds	\$ 20,240,000	22,150,000	-8.62%

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The State of Iowa set the supplemental state aid for fiscal year 2021 at 2.3%. The District's inability to predict future revenues may continue to have a significant impact on future budget discussions. As approximately 80% of the District's General Fund budget is comprised of salary and benefits, wage and salary adjustments realized through collective bargaining along with escalating health insurance premiums will have a significant impact on District expenses.
- The Iowa school funding formula is highly dependent upon student enrollment. The District's certified enrollment continues to decline every year, with the district losing 172.5 students with the October 2020 Certified enrollment. The District is averaging a loss of 106 students each of the last seven years. In 2013 the certified enrollment was 4,655 students and is now at 3,913, a reduction of 742 fewer students. State projections show a continued decline in enrollment which will continue to negatively impact the District's revenues.
- Iowa Governor Kim Reynolds issued a proclamation on March 13, 2020 closing all schools due to Covid-19 for the school year ending June 30, 2020. School districts were required to submit a Return to Learn plan for the 2020-2021 school year which included in-person, hybrid and virtual programs.
- The Covid-19 pandemic is having a significant negative impact on the economy. The effect on State revenues and therefore school funding is uncertain and there may be a negative impact on the District's enrollment and funding due to the impact on the economy. As costs continue to increase while projected revenues will continue to decline over the next five years, the District will need to explore options to maintain a balanced budget in the foreseeable future.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact the Business and Finance Office, Burlington Community School District, 1429 West Avenue, Burlington, Iowa 52601.



Burlington Community School District

BASIC FINANCIAL STATEMENTS

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
JUNE 30, 2020

	Governmental Activities	Business Type Activities	Total
Assets			
Cash and pooled investments	\$ 35,777,836	560,075	36,337,911
Receivables:			
Property tax:			
Delinquent	154,957	-	154,957
Succeeding year	14,830,271	-	14,830,271
Accounts	130	-	130
Due from other governments	1,454,254	-	1,454,254
Inventories	-	65,024	65,024
Prepaid expenses	6,750	-	6,750
Capital assets not being depreciated:			
Land and construction in progress	3,141,511	-	3,141,511
Capital assets, net of accumulated depreciation			
Buildings and land improvements and machinery and equipment	69,768,982	119,572	69,888,554
Total assets	125,134,691	744,671	125,879,362
Deferred Outflows of Resources			
Pension related deferred outflows	4,909,083	124,228	5,033,311
OPEB related deferred outflows	646,977	3,840	650,817
Total Deferred Outflows of Resources	5,556,060	128,068	5,684,128
Liabilities			
Accounts payable	2,251,935	29,099	2,281,034
Salaries and benefits payable	5,010,853	51,261	5,062,114
Advances from grantors	103,374	-	103,374
Unearned revenue	-	20,189	20,189
Long-term liabilities:			
Portion due within one year:			
Revenue bonds	1,970,000	-	1,970,000
Compensated absences	219,788	6,361	226,149
Portion due after one year:			
Revenue bonds	18,270,000	-	18,270,000
Net pension liability	20,734,885	509,874	21,244,759
Total OPEB liability	2,479,579	14,716	2,494,295
Total liabilities	51,040,414	631,500	51,671,914
Deferred Inflows of Resources			
Unavailable property tax revenue	14,830,271	-	14,830,271
Pension related deferred inflows	4,242,255	104,318	4,346,573
OPEB related deferred inflows	27,189	161	27,350
Total deferred inflows of resources	19,099,715	104,479	19,204,194
Net Position			
Net investment in capital assets	52,670,493	119,572	52,790,065
Restricted for:			
Categorical funding	1,399,651	-	1,399,651
Debt service	4,129,212	-	4,129,212
Management levy purposes	2,326,639	-	2,326,639
Student activities	313,369	-	313,369
Support trust purposes	740,210	-	740,210
School infrastructure	6,855,306	-	6,855,306
Physical plant and equipment	1,341,578	-	1,341,578
Unrestricted	(9,225,836)	17,188	(9,208,648)
Total net position	\$ 60,550,622	136,760	60,687,382

SEE NOTES TO FINANCIAL STATEMENTS.

**BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF ACTIVITIES
YEAR ENDED JUNE 30, 2020**

	Program Revenues			Net (Expense) Revenue and Changes in Net Position		
	Expenses	Charges for Service	Operating Grants, Contributions and Restricted Interest	Governmental Activities	Business Type Activities	Total
Functions/Programs:						
Governmental activities:						
Instruction:						
Regular	\$ 21,211,973	580,888	809,479	(19,821,606)	-	(19,821,606)
Special	8,682,495	327,648	1,120,545	(7,234,302)	-	(7,234,302)
Other	5,718,768	219,188	2,437,898	(3,061,682)	-	(3,061,682)
	<u>35,613,236</u>	<u>1,127,724</u>	<u>4,367,922</u>	<u>(30,117,590)</u>	<u>-</u>	<u>(30,117,590)</u>
Support services:						
Student	1,910,310	-	93,225	(1,817,085)	-	(1,817,085)
Instructional staff	1,950,051	-	262,503	(1,687,548)	-	(1,687,548)
Administration	4,966,766	-	359,532	(4,607,234)	-	(4,607,234)
Operation and maintenance of plant	4,179,548	-	38,044	(4,141,504)	-	(4,141,504)
Transportation	1,616,790	7,843	60,988	(1,547,959)	-	(1,547,959)
	<u>14,623,465</u>	<u>7,843</u>	<u>814,292</u>	<u>(13,801,330)</u>	<u>-</u>	<u>(13,801,330)</u>
Non-instructional programs:						
Food service operations	10,341	-	-	(10,341)	-	(10,341)
Community service operations	12,669	-	8,770	(3,899)	-	(3,899)
	<u>23,010</u>	<u>-</u>	<u>8,770</u>	<u>(14,240)</u>	<u>-</u>	<u>(14,240)</u>
Long-term debt interest	847,829	-	-	(847,829)	-	(847,829)
Other expenditures:						
AEA flowthrough	1,984,635	-	1,984,635	-	-	-
Depreciation (unallocated)*	1,878,954	-	-	(1,878,954)	-	(1,878,954)
	<u>3,863,589</u>	<u>-</u>	<u>1,984,635</u>	<u>(1,878,954)</u>	<u>-</u>	<u>(1,878,954)</u>
Total governmental activities	<u>54,971,129</u>	<u>1,135,567</u>	<u>7,175,619</u>	<u>(46,659,943)</u>	<u>-</u>	<u>(46,659,943)</u>
Non-instructional programs:						
Food service operations	1,750,854	256,228	1,253,669	-	(240,957)	(240,957)
Total	<u>\$ 56,721,983</u>	<u>1,391,795</u>	<u>8,429,288</u>	<u>(46,659,943)</u>	<u>(240,957)</u>	<u>(46,900,900)</u>
General Revenues:						
Property tax levied for:						
General purposes				\$ 13,597,938	-	13,597,938
Capital outlay				1,071,325	-	1,071,325
Statewide sales, services and use tax				4,291,152	-	4,291,152
Unrestricted state grants				29,156,463	-	29,156,463
Unrestricted investment earnings				428,442	6,432	434,874
Other				135,303	22,535	157,838
Total general revenues				<u>48,680,623</u>	<u>28,967</u>	<u>48,709,590</u>
Change in net position				2,020,680	(211,990)	1,808,690
Net position beginning of year				58,529,942	348,750	58,878,692
Net position end of year				<u>\$ 60,550,622</u>	<u>136,760</u>	<u>60,687,382</u>

* This amount excludes the depreciation that is included in the direct expense of various programs.

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
BALANCE SHEET
GOVERNMENTAL FUNDS
JUNE 30, 2020

	General	Capital Projects	Management Levy	Debt Service	Nonmajor	Total
Assets						
Cash and pooled investments	\$ 18,024,685	7,935,663	2,306,186	5,499,050	1,064,647	34,830,231
Receivables:						
Property tax:						
Delinquent	123,298	11,035	20,624	-	-	154,957
Succeeding year	11,692,127	1,138,140	2,000,004	-	-	14,830,271
Accounts	130	-	-	-	-	130
Due from other governments	1,093,114	361,140	-	-	-	1,454,254
Prepaid expenses	6,750	-	-	-	-	6,750
Total assets	\$ 30,940,104	9,445,978	4,326,814	5,499,050	1,064,647	51,276,593
Liabilities, Deferred Inflows of Resources and Fund Balances						
Liabilities:						
Accounts payable	\$ 771,655	99,203	171	1,369,838	11,068	2,251,935
Salaries and benefits payable	4,999,102	11,751	-	-	-	5,010,853
Advances from grantors	103,374	-	-	-	-	103,374
Total liabilities	5,874,131	110,954	171	1,369,838	11,068	7,366,162
Deferred inflows of resources:						
Unavailable revenues:						
Succeeding year property tax	11,692,127	1,138,140	2,000,004	-	-	14,830,271
Fund balances:						
Nonspendable	6,750	-	-	-	-	6,750
Restricted for:						
Categorical funding	1,399,651	-	-	-	-	1,399,651
Debt service	-	-	-	4,129,212	-	4,129,212
Management levy purposes	-	-	2,326,639	-	-	2,326,639
Student activities	-	-	-	-	313,369	313,369
Support trust purposes	-	-	-	-	740,210	740,210
School infrastructure	-	6,855,306	-	-	-	6,855,306
Physical plant and equipment	-	1,341,578	-	-	-	1,341,578
Assigned for special purposes	214,614	-	-	-	-	214,614
Unassigned	11,752,831	-	-	-	-	11,752,831
Total fund balances	13,373,846	8,196,884	2,326,639	4,129,212	1,053,579	29,080,160
Total liabilities, deferred inflows of resources and fund balances	\$ 30,940,104	9,445,978	4,326,814	5,499,050	1,064,647	51,276,593

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 RECONCILIATION OF THE BALANCE SHEET - GOVERNMENTAL FUNDS
 TO THE STATEMENT OF NET POSITION
 JUNE 30, 2020

Total fund balances of governmental funds (page 20)	\$	29,080,160
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Amounts reported for governmental activities in the Statement of Net Position are different because:

Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.		72,910,493
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Blending of the Internal Service Funds to be reflected on an entity-wide basis.		947,605
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Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:

Deferred outflows of resources	\$ 5,556,060	
Deferred inflows of resources	(4,269,444)	1,286,616

Long-term liabilities, including revenue bonds, compensated absences payable, net pension liability, and total OPEB liability are not due and payable in the current year and, therefore, are not reported in the governmental funds.		(43,674,252)

Net position of governmental activities (page 18)	\$	60,550,622

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
YEAR ENDED JUNE 30, 2020

	General	Capital Projects	Management Levy	Debt Service	Nonmajor	Total
Revenues:						
Local sources:						
Local tax	\$ 11,657,024	1,071,325	1,940,914	-	-	14,669,263
Tuition	766,192	-	-	-	-	766,192
Other	637,165	74,259	8,963	66,311	241,099	1,027,797
State sources	31,680,629	4,326,185	58,147	-	-	36,064,961
Federal sources	4,463,596	-	-	-	-	4,463,596
Total revenues	49,204,606	5,471,769	2,008,024	66,311	241,099	56,991,809
Expenditures:						
Current:						
Instruction:						
Regular	20,376,012	15,329	475,310	-	41,369	20,908,020
Special	8,303,688	-	-	-	-	8,303,688
Other	5,314,302	-	-	-	226,356	5,540,658
	33,994,002	15,329	475,310	-	267,725	34,752,366
Support services:						
Student	1,886,760	-	10,151	-	-	1,896,911
Instructional staff	1,840,519	88,264	12,803	-	-	1,941,586
Administration	4,801,573	-	112,029	-	-	4,913,602
Operation and maintenance of plant	3,559,753	134,730	467,564	-	-	4,162,047
Transportation	1,285,191	215,875	82,288	-	-	1,583,354
	13,373,796	438,869	684,835	-	-	14,497,500
Non-instructional programs:						
Food service operations	-	-	10,341	-	-	10,341
Community service operations	12,669	-	-	-	-	12,669
	12,669	-	10,341	-	-	23,010
Capital outlay	-	835,568	-	-	-	835,568
Long-term debt:						
Principal	-	-	-	1,910,000	-	1,910,000
Interest and fiscal charges	-	-	-	847,829	-	847,829
	-	-	-	2,757,829	-	2,757,829
Other expenditures:						
AEA flowthrough	1,984,635	-	-	-	-	1,984,635
Total expenditures	49,365,102	1,289,766	1,170,486	2,757,829	267,725	54,850,908
Excess (Deficiency) of revenues over (under) expenditures	(160,496)	4,182,003	837,538	(2,691,518)	(26,626)	2,140,901
Other financing sources (uses):						
Insurance proceeds	142,026	-	-	-	-	142,026
Proceeds from the sale of equipment	1,248	7,550	-	-	-	8,798
Transfer in	-	-	-	2,990,695	-	2,990,695
Transfer out	-	(2,990,695)	-	-	-	(2,990,695)
Total other financing sources (uses)	143,274	(2,983,145)	-	2,990,695	-	150,824
Change in fund balances	(17,222)	1,198,858	837,538	299,177	(26,626)	2,291,725
Fund balances beginning of year	13,391,068	6,998,026	1,489,101	3,830,035	1,080,205	26,788,435
Fund balances end of year	\$ 13,373,846	8,196,884	2,326,639	4,129,212	1,053,579	29,080,160

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES AND
 CHANGES IN FUND BALANCES - GOVERNMENTAL FUNDS
 TO THE STATEMENT OF ACTIVITIES
 YEAR ENDED JUNE 30, 2020

Change in fund balances - total governmental funds (page 22) \$ 2,291,725

Amounts reported for governmental activities in the Statement of Activities are different because:

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Activities and are allocated over their estimated useful lives as depreciation expense in the Statement of Activities. Capital outlay expenditures and depreciation expense in the current year are as follows:

Capital outlay	\$ 1,202,632	
Depreciation expense	<u>(2,577,842)</u>	(1,375,210)

Repayment of long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in Statement of Net Position.	1,910,000
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Net change in the Internal Service Funds charged back against expenditures made for self-funded insurance on an entity-wide basis.	110,404
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The current year District IPERS contributions are reported as expenditures in the governmental funds but are reported as deferred outflows of resources in the Statement of Net Position.	2,570,208
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Some expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds, as follows:

Compensated absences	(14,199)	
Pension expense	(3,489,512)	
Total OPEB liability and related expenses	<u>17,264</u>	<u>(3,486,447)</u>

Change in net position of governmental activities (page 19) \$ 2,020,680

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
JUNE 30, 2020

	Business Type Activities: Enterprise Funds			Governmental Activities: Internal Service Funds
	School Nutrition	Student Construction	Total	
Assets				
Current assets:				
Cash and pooled investments	\$ 528,976	31,099	560,075	947,605
Inventories	65,024	-	65,024	-
Total current assets	594,000	31,099	625,099	947,605
Noncurrent assets:				
Capital assets, net of accumulated depreciation	119,572	-	119,572	-
Total assets	713,572	31,099	744,671	947,605
Deferred Outflows of Resources				
Pension related deferred outflows	124,228	-	124,228	-
OPEB related deferred outflows	3,840	-	3,840	-
Total Deferred Outflows of Resources	128,068	-	128,068	-
Liabilities				
Current liabilities:				
Accounts payable	29,099	-	29,099	-
Salaries and benefits payable	51,261	-	51,261	-
Unearned revenue	20,189	-	20,189	-
Total current liabilities	100,549	-	100,549	-
Noncurrent liabilities:				
Compensated absences	6,361	-	6,361	-
Net pension liability	509,874	-	509,874	-
Total OPEB liability	14,716	-	14,716	-
Total noncurrent liabilities	530,951	-	530,951	-
Total liabilities	631,500	-	631,500	-
Deferred Inflows of Resources				
Pension related deferred inflows	104,318	-	104,318	-
OPEB related deferred inflows	161	-	161	-
Total Deferred Inflows of Resources	104,479	-	104,479	-
Net Position				
Net investment in capital assets	119,572	-	119,572	-
Unrestricted	(13,911)	31,099	17,188	947,605
Total net position	\$ 105,661	31,099	136,760	947,605

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENSES AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2020

	Business Type Activities: Enterprise Funds			Governmental Activities: Internal Service Funds
	School Nutrition	Student Construction	Total	
Operating revenues:				
Local sources:				
Charges for service	\$ 256,228	-	256,228	6,897,557
Miscellaneous	7,535	15,000	22,535	-
Total operating revenues	263,763	15,000	278,763	6,897,557
Operating expenses:				
Support Services:				
Administration:				
Services	-	-	-	6,214,387
Non-instructional programs:				
Food service operations:				
Salaries	717,564	-	717,564	-
Benefits	166,966	-	166,966	-
Services	760	-	760	-
Supplies	839,357	-	839,357	-
Depreciation	26,013	-	26,013	-
Other	194	-	194	-
	1,750,854	-	1,750,854	-
Other enterprise operations:				
Benefits	-	-	-	572,766
Total non-instructional programs	1,750,854	-	1,750,854	572,766
Total operating expenses	1,750,854	-	1,750,854	6,787,153
Operating income (loss)	(1,487,091)	15,000	(1,472,091)	110,404
Non-operating revenues:				
State sources	12,754	-	12,754	-
Federal sources	1,240,915	-	1,240,915	-
Interest income	6,432	-	6,432	-
Total non-operating revenues	1,260,101	-	1,260,101	-
Change in net position	(226,990)	15,000	(211,990)	110,404
Net position beginning of year	332,651	16,099	348,750	837,201
Net position end of year	\$ 105,661	31,099	136,760	947,605

SEE NOTES TO FINANCIAL STATEMENTS.

**BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2020**

	Business Type Activities: Enterprise Funds			Governmental Activities: Internal Service Funds
	School Nutrition	Student Construction	Total	
Cash flows from operating activities:				
Cash received from sale of lunches and breakfasts	\$ 210,842	-	210,842	-
Cash received from sales to other entities	43,691		43,691	-
Cash received from miscellaneous	7,535	15,000	22,535	6,897,557
Cash payments to employees for services	(863,065)	-	(863,065)	-
Cash payments to suppliers for goods or services	(704,341)	-	(704,341)	(6,787,153)
Net cash provided by (used in) operating activities	(1,305,338)	15,000	(1,290,338)	110,404
Cash flows from non-capital financing activities:				
Borrowings from General Fund	137,024	-	137,024	-
State grants received	17,252	-	17,252	-
Federal grants received	1,099,222	-	1,099,222	-
Net cash provided by non-capital financing activities	1,253,498	-	1,253,498	-
Cash flows from investing activities:				
Interest on investments	6,432	-	6,432	-
Net increase (decrease) in cash and pooled investments	(45,408)	15,000	(30,408)	110,404
Cash and pooled investments beginning of year	574,384	16,099	590,483	837,201
Cash and pooled investments end of year	\$ 528,976	31,099	560,075	947,605
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:				
Operating income (loss)	\$ (1,487,091)	15,000	(1,472,091)	110,404
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:				
Commodities consumed	141,693	-	141,693	-
Depreciation	26,013	-	26,013	-
Change in assets and liabilities:				
Inventories	(27,594)	-	(27,594)	-
Accounts payable	21,871	-	21,871	-
Salaries and benefits payable	7,377	-	7,377	-
Net pension liability	(58,311)	-	(58,311)	-
Deferred outflows of resources	25,953	-	25,953	-
Deferred inflows of resources	46,608	-	46,608	-
Unearned revenue	(1,695)	-	(1,695)	-
Compensated absences	1,371	-	1,371	-
Total OPEB liability	(1,533)	-	(1,533)	-
Net cash provided by (used in) operating activities	\$ (1,305,338)	15,000	(1,290,338)	110,404

Non-cash investing, capital and related financing activities:

During the year ended June 30, 2020, the District received \$141,693 of federal commodities.

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF FIDUCIARY NET POSITION
FIDUCIARY FUND
JUNE 30, 2020

	Private Purpose Trust Scholarship
Assets	
Cash and pooled investments	\$ 83,853
Liabilities	-
Net Position	
Held in trust for scholarships	\$ 83,853

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF CHANGES IN FIDUCIARY NET POSITION
FIDUCIARY FUND
YEAR ENDED JUNE 30, 2020

	Private Purpose Trust Scholarship
Additions:	
Local sources:	
Interest income	\$ 209
Deductions:	
Instruction:	
Regular:	
Scholarships awarded	1,494
Change in net position	(1,285)
Net position beginning of year	85,138
Net position end of year	\$ 83,853

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2020

(1) Summary of Significant Accounting Policies

Burlington Community School District is a political subdivision of the State of Iowa and operates public schools for children in grades kindergarten through twelve and special education pre-kindergarten. Additionally, the District either operates or sponsors various adult education programs. These courses include remedial education as well as career and technical and recreational courses. The geographic area served includes the City of Burlington, Iowa, and the predominate agricultural territory in Des Moines County. The District is governed by a Board of Education whose members are elected on a non-partisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Government Accounting Standards Board.

A. Reporting Entity

For financial reporting purposes, Burlington Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on the District. The District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly Governed Organizations - The District participates in a jointly governed organization that provides services to the District but do not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Des Moines County Assessors' Conference Board.

B. Basis of Presentation

Government-wide Financial Statements - The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows or resources, liabilities and deferred inflows or resources, with the difference reported as net position. Net position is reported in the following categories:

Net investment in capital assets consists of capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes, and other debt attributable to the acquisition, construction, or improvement of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed or are imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position not meeting the definition of the preceding categories. Unrestricted net position is often subject to constraints imposed by management which can be removed or modified.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function and 2) grants, contributions and interest that are restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund Financial Statements - Separate financial statements are provided for governmental, proprietary, and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds. Combining schedules are also included for the Capital Projects Fund accounts.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenses, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities and other capital assets.

The Debt Service Fund is utilized to account for the property tax and other revenues to be used for the payment of interest and principal on the District's general long-term debt.

The Management Levy Fund is utilized to account for the property tax and other revenues used to pay expense for unemployment benefits, early retirement and insurance agreements relating to such liabilities.

The District also reports the following non-major proprietary funds:

The Enterprise, School Nutrition Fund is used to account for the food service operations of the District.

The Student Construction Fund is used to account for revenues and expenses associated with the District's construction trades program.

The Internal Service Fund is used to account for the flexible health program offered by the District. The Internal Service Fund is charged back to the governmental funds and shown combined in the Statement of Net Position and the Statement of Activities.

The District also reports fiduciary funds which focus on net position and changes in net position. The District's fiduciary fund is as follows:

The Private Purpose Trust Fund is used to account for assets held by the District under trust agreements which require income earned to be used to benefit individuals through scholarship awards.

C. Measurement Focus and Basis of Accounting

The government-wide, proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments, and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is generally to first apply the expenditure toward restricted fund balance and then to less restrictive classifications - committed, assigned and then unassigned fund balances.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's Enterprise Funds are charges to customers for sales and services. Operating expenses for Enterprise Funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

D. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources and Fund Equity/ Net Position

Cash, Pooled Investments and Cash Equivalents - The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for the investments in the Iowa Schools Joint Investment Trust and Miles Capital Education which are valued at amortized cost and non-negotiable certificates of deposit which are stated at cost.

For purposes of the Statement of Cash Flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and at the day of purchase, they have a maturity date no longer than three months.

Property Tax Receivable - Property taxes in governmental funds are accounted for using the modified accrual basis of accounting.

Property tax receivable is recognized in these funds on the levy or lien date, which is the date the tax asking is certified by the Board of Education. Delinquent property tax receivable represents unpaid taxes for the current and prior years. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year.

Although the succeeding year property tax receivable has been recorded, the related revenue is reported as a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

Property tax revenue recognized in these funds becomes due and collectible in September and March of the fiscal year with a 1½% per month penalty for delinquent payments; is based on January 1, 2018 assessed property valuations; is for the tax accrual period July 1, 2019 through June 30, 2020 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April, 2019.

Due from Other Governments - Due from other governments represents the amounts due from the State of Iowa, various shared revenues, grants and reimbursements from other governments.

Prepaid Expenses - Representing deposits on the District's flex spending program and other payments for services not yet provided.

Inventories - Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Capital Assets - Capital assets, which include property, machinery and equipment and intangibles acquired after July 1, 1980 are reported in the applicable governmental or business type activities columns in the government-wide Statement of Net Position. Capital assets are recorded at historical cost if purchased or constructed. Donated capital assets are recorded at acquisition value. Acquisition value is the price that would have been paid to acquire a capital asset with equivalent service potential. The costs of normal maintenance and repair that do not add to the value of the asset or materially extend asset lives are not capitalized. Reportable capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Asset Class	Amount
Buildings	\$ 5,000
Land improvements	5,000
Intangibles	100,000
Machinery and equipment:	
School Nutrition Fund equipment	500
Other machinery and equipment	5,000

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	50 years
Land improvements	20 years
Intangibles	2 or more years
Machinery and equipment	5 to 12 years

Deferred Outflows of Resources - Deferred outflows of resources represent a consumption of net position applicable to a future year(s) which will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension and OPEB expense, the unamortized portion of the net difference between projected and actual earnings on pension plan investments and contributions from the District after the measurement date but before the end of the District's reporting period.

Salaries and Benefits Payable - Payroll and related expenditures for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Advances from Grantors - Grant proceeds which have been received by the District but will be spent in a succeeding fiscal year.

Unearned Revenues - Unearned revenues are monies collected for lunches that have not yet been served. The lunch account balances will either be reimbursed or served lunches. The lunch account balances are reflected on the Statement of Net Position in the Proprietary, School Nutrition Fund.

Long-term Liabilities - In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the Statement of Net Position.

Compensated Absences - District employees accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in the governmental fund financial statements only for employees who have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect at June 30, 2020. The compensated absences liability attributable to the governmental activities will be primarily paid by the General Fund. Compensated absences attributable to the business type activities will be paid by the School Nutrition Fund.

Pensions - For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments, including refunds of employee contributions, are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid primarily by the General Fund.

Total OPEB Liability - For purposes of measuring the total OPEB liability, deferred outflows of resources related to OPEB, deferred inflows of resources related to OPEB and OPEB expense, information has been determined based on the District's actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund while the portion attributable to the business type activities will be paid primarily by the Enterprise, School Nutrition Fund.

Deferred Inflows of Resources - Deferred inflows of resources represent an acquisition of net position applicable to a future year(s) which will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows or resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows or resources consist of property tax receivable and other receivables not collected within sixty days after year end.

Deferred inflows of resources in the Statement of Net Position consist of succeeding year property tax receivable that will not be recognized as revenue until the year for which it is levied and unrecognized items not yet charged to pension and OPEB expense.

Fund Equity - In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable - Amounts which cannot be spent because they are legally or contractually required to be intact or are not expected to be converted to cash.

Restricted - Amounts restricted to specific purposes when constraints placed on the use of

the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Assigned - Amounts the District management intends to use for specific purposes.

Unassigned - All amounts not included in the preceding classifications.

E. Budgets and Budgetary Accounting

The budgetary comparison and related disclosures are reported as Required Supplementary Information.

(2) Cash and Pooled Investments

The District's deposits in banks at June 30, 2020 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This chapter provides for additional assessments against the depositories to ensure there will be no loss of public funds.

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

At June 30, 2020, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Direct Governmental Obligation Portfolio valued at an amortized cost of \$18,099,902, pursuant to Rule 21-7 under the Investment Company Act of 1940. There were no limitations or restrictions on the withdrawals of the ISJIT. The investments in the Iowa Schools Investment Trust were rated AAAM by Standard & Poor's Financial Services.

(3) Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2020 is as follows:

Transfer to	Transfer from	Amount
Debt Service	Capital Projects: Statewide Sales, Services and Use Tax	\$ 2,990,695

The transfer from the Capital Projects: Statewide Sales, Services and Use Tax Fund to the Debt Service Fund was for principal and interest payments on the District's revenue bonded indebtedness.

(4) Construction Commitments

The District has entered into contracts for an office remodel and swimming pool project. As of June 30, 2020, costs of \$104,777 had been incurred against the contracts. The balance will be paid as work on the project progresses.

(5) Capital Assets

Capital assets activity for the year ended June 30, 2020 was as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated:				
Land	\$ 3,036,734	-	-	3,036,734
Construction in progress	47,956	154,110	97,289	104,777
Total capital assets not being depreciated	3,084,690	154,110	97,289	3,141,511
Capital assets being depreciated:				
Buildings	93,830,968	506,027	-	94,336,995
Land improvements	1,914,913	212,403	-	2,127,316
Machinery and equipment	20,968,410	427,381	556,241	20,839,550
Total capital assets being depreciated	116,714,291	1,145,811	556,241	117,303,861
Less accumulated depreciation for:				
Buildings	27,382,973	1,806,591	-	29,189,564
Land improvements	860,955	72,363	-	933,318
Machinery and equipment	17,269,350	698,888	556,241	17,411,997
Total accumulated depreciation	45,513,278	2,577,842	556,241	47,534,879
Total capital assets being depreciated, net	71,201,013	(1,432,031)	-	69,768,982
Governmental activities capital assets, net	\$ 74,285,703	(1,277,921)	97,289	72,910,493
Business type activities:				
Machinery and equipment	\$ 717,542	-	-	717,542
Less accumulated depreciation	571,957	26,013	-	597,970
Business type activities capital assets, net	\$ 145,585	(26,013)	-	119,572

Depreciation expense was charged to the following functions:

Governmental activities:	
Instruction:	
Regular	\$ 210,288
Support Services:	
Administration	74,352
Operation and maintenance of plant	151,139
Transportation	263,109
	698,888
Unallocated depreciation	1,878,954
Total governmental activities depreciation expense	\$ 2,577,842
Business type activities:	
Food service operations	\$ 26,013

(6) Long-Term Liabilities

Changes in long-term liabilities for the year ended June 30, 2020 are summarized as follows:

	Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
Revenue bonds	\$ 22,150,000	-	1,910,000	20,240,000	1,970,000
Compensated absences	205,589	219,788	205,589	219,788	219,788
Net pension liability	22,910,534	-	2,175,649	20,734,885	-
Total OPEB liability	2,373,371	106,208	-	2,479,579	-
Total	<u>\$ 47,639,494</u>	<u>325,996</u>	<u>4,291,238</u>	<u>43,674,252</u>	<u>2,189,788</u>
Business type activities:					
Compensated absences	4,990	6,361	4,990	6,361	6,361
Net pension liability	568,185	-	58,311	509,874	-
Total OPEB liability	16,249	-	1,533	14,716	-
Total	<u>\$ 589,424</u>	<u>6,361</u>	<u>64,834</u>	<u>530,951</u>	<u>6,361</u>

Revenue Bonds

Details of the District's June 30, 2020 statewide sales, services and use tax revenue bonded indebtedness are as follows:

Year Ending June 30,	Bond issue of December 12, 2012 Partial Advance Refunding 2009 Series A&B			Bond issue of March 1, 2009 Series A		
	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest
2021	2.00 %	\$ 240,000	210,010	4.38 %	\$ 475,000	271,906
2022	2.00	250,000	205,160	4.60	870,000	241,506
2023	2.10	260,000	200,045	4.70	910,000	200,111
2024	2.25	275,000	194,431	4.80	950,000	155,926
2025	2.38	285,000	188,100	4.00	1,000,000	108,626
2026-2029	2.38-3.00	6,935,000	498,275	5.00-5.10	1,670,000	73,939
Total		<u>\$ 8,245,000</u>	<u>1,496,021</u>		<u>\$ 5,875,000</u>	<u>1,052,014</u>

Year Ending June 30,	Bond issue of March 1, 2009 Series B			Bond Issue December 1, 2009 Series C			Total		
	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest	Principal	Interest	Total
2021	4.50 %	\$ 610,000	252,152	4.25 %	\$ 645,000	33,106	1,970,000	767,174	2,737,174
2022	4.65	825,000	223,788	4.50	95,000	11,588	2,040,000	682,042	2,722,042
2023	4.80	850,000	185,426	4.50	90,000	7,313	2,110,000	592,895	2,702,895
2024	4.90	875,000	144,626	4.50	95,000	3,263	2,195,000	498,246	2,693,246
2025	5.00	1,000,000	101,750	-	-	-	2,285,000	398,476	2,683,476
2026-2030		1,035,000	51,750		-	-	9,640,000	623,964	10,263,964
Total		<u>\$ 5,195,000</u>	<u>959,492</u>		<u>\$ 925,000</u>	<u>55,269</u>	<u>20,240,000</u>	<u>3,562,796</u>	<u>23,802,796</u>

The District has pledged future statewide sales, services and use tax revenues to repay the revenue bonds issued in March and December 2009 and December 2012. The bonds were issued for the purpose of building and furnishing a new middle school and refunding outstanding project notes and bonds issued for said purpose. The bonds are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District and are payable through 2029. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. Annual principal and interest payments on the bonds are expected to require approximately 64% of the statewide sales, services and use tax revenues. The total principal and interest remaining to be paid on the bonds is \$23,802,796.

For the current year \$1,910,000 in principal and \$840,134 in interest was paid on the bonds and total statewide sales, services and use tax revenues were \$4,291,152.

The resolution providing for the issuance of the statewide sales, services and use tax revenue bonds includes the following provisions:

- a) \$3,433,640 of the proceeds from the issuance of the revenue bonds shall be deposited to the reserve account to be used solely for the purpose of paying principal and interest on the bonds if insufficient money is available in the sinking account. The balance of the proceeds shall be deposited to the project account.
- b) All proceeds from the statewide sales, services and use tax shall be placed in a revenue account.
- c) Monies in the revenue account shall be disbursed to make deposits into a sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year.
- d) Any monies remaining in the revenue account after the required transfer to the sinking account may be transferred to the project account to be used for any lawful purpose.

(7) Pension Plan

Plan Description - IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by the Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general information purposes only. Refer to the plan documents for more information.

Pension Benefits - A Regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50% for each month that the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits - A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the

member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions - Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2020, pursuant to the required rate, Regular members contributed 6.29% of covered payroll and the District contributed 9.44% of covered payroll, for a total rate of 15.73%.

The District's contributions to IPERS for the year ended June 30, 2020 were \$2,636,922.

Net Pension Liability, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions - At June 30, 2020, the District reported a liability of \$21,244,759 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2019 and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to IPERS relative to the contributions of all IPERS participating employers. At June 30, 2019, the District's proportion was 0.366880%, which was a decrease of 0.004135% from its proportion measured as of June 30, 2018.

For the year ended June 30, 2020, the District recognized pension expense of \$3,570,758. At June 30, 2020, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 58,896	763,851
Changes of assumptions	2,275,618	-
Net difference between projected and actual earnings on IPERS' investments	-	2,394,028
Changes in proportion and differences between District contributions and the District's proportionate share of contributions	61,875	1,188,694
District contributions subsequent to the measurement date	2,636,922	-
Total	<u>\$ 5,033,311</u>	<u>4,346,573</u>

\$2,636,922 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2021. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Amount
2021	\$ 120,533
2022	(877,758)
2023	(624,464)
2024	(490,206)
2025	(78,289)
Total	<u>\$ (1,950,184)</u>

There were no non-employer contributing entities at IPERS.

Actuarial Assumptions - The total pension liability in the June 30, 2019 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of inflation (effective June 30, 2017)	2.60% per annum.
Rates of salary increase (effective June 30, 2017)	3.25 to 16.25% average, including inflation. Rates vary by membership group.
Long-term investment rate of return (effective June 30, 2017)	7.00% compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25% per annum, based on 2.60% inflation and 0.65% real wage inflation.

The actuarial assumptions used in the June 30, 2019 valuation were based on the results of an economic assumption study dated March 24, 2017 and a demographic assumption study dated June 28, 2019.

Mortality rates used in the 2019 valuation were based on the RP-2014 Employee and Healthy Annuitant Tables with MP-2017 generational adjustments.

The long-term expected rate of return on IPERS' investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	22.0%	5.60%
International equity	15.0	6.08
Global smart beta equity	3.0	5.82
Core plus fixed income	27.0	1.71
Public credit	3.5	3.32
Public real assets	7.0	2.81
Cash	1.0	(0.21)
Private equity	11.0	10.13
Private real assets	7.5	4.76
Private credit	3.0	3.01
Total	<u>100.0%</u>	

Discount Rate - The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made

at contractually required rates, actuarially determined. Based on those assumptions, IPERS' fiduciary net position was projected to be available to make all projected future benefit payments to current active and inactive employees. Therefore, the long-term expected rate of return on IPERS' investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate - The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate 1% lower (6.00%) or 1% higher (8.00%) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability	\$ 37,723,834	21,244,759	7,422,292

IPERS' Fiduciary Net Position - Detailed information about IPERS' fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to IPERS - At June 30, 2020, the District reported payables to IPERS of \$338,388 for legally required District contributions and \$225,472 for legally required employee contributions withheld from employee wages which had not yet been remitted to IPERS.

(8) Other Postemployment Benefits (OPEB)

Plan Description - The District administers a single-employer benefit plan which provides medical and prescription drug benefits for employees, retirees and their spouses. Group insurance benefits are established under Iowa Code Chapter 509A.13. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75.

OPEB Benefits - Individuals who are employed by the District and are eligible to participate in the group health plan are eligible to continue healthcare benefits upon retirement. Retirees under age 65 pay the same premium for the medical and prescription drug benefits as active employees, which results in an implicit rate subsidy and an OPEB liability. The District also offers a voluntary early retirement plan that provides District contributions to individual accounts for eligible medical expenses, which results in a direct subsidy and an OPEB liability.

Retired participants must be age 55 or older at retirement. At July 1, 2018, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	39
Active employees	<u>544</u>
Total	<u><u>583</u></u>

Total OPEB Liability - The District's total OPEB liability of \$2,494,295 was measured as of June 30, 2020, and was determined by an actuarial valuation dated July 1, 2018.

Actuarial Assumptions - The total OPEB liability in the June 30, 2020 actuarial valuation was determined using the following actuarial assumptions and the entry age normal actuarial cost method, applied to all periods included in the measurement.

Rate of inflation	2.60% per annum.
Rates of salary increase	3.25-16.25% variable based upon years of service, including inflation.
Discount rate	2.21% compounded annually, including inflation.
Healthcare cost trend rate	6.75% for FY2021 decreasing to an ultimate rate of 4.00% in 2032.

Discount Rate - The discount rate used to measure the total OPEB liability was 2.21% which reflects the index rate for 20-year tax-exempt general obligation municipal bonds with an average rating of AA/Aa or higher as of the measurement date.

Pre-retirement mortality rates are from the RP-2014 Employee Table, projected generationally using MP-2017. Post-retirement mortality rates are from the RP-2014 Healthy Annuitant Table, projected generationally using MP-2017. Annual retirement probabilities are based on varying rates by age and turnover probabilities mirror those used by IPERS.

Changes in the Total OPEB Liability

	<u>Total OPEB Liability</u>
Total OPEB liability beginning of year	\$ 2,389,620
Changes for the year:	
Service cost	138,145
Interest	83,124
Changes in assumptions	191,623
Benefit payments	<u>(308,217)</u>
Net changes	<u>104,675</u>
Total OPEB liability end of year	<u>\$ 2,494,295</u>

Changes of assumptions reflect a change in the discount rate from 3.50% in fiscal year 2019 to 2.21% in fiscal year 2020.

Sensitivity of the District's Total OPEB Liability to Changes in the Discount Rate - The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate 1% lower (1.21%) or 1% higher (3.21%) than the current discount rate.

	1% Decrease (1.21%)	Discount Rate (2.21%)	1% Increase (3.21%)
Total OPEB liability	\$ 2,649,794	2,494,295	2,344,688

Sensitivity of the District's Total OPEB Liability to Changes in the Healthcare Cost Trend Rates - The following presents the total OPEB liability of the District as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1% lower (5.75%) or 1% higher (7.75%) than the current healthcare cost trend rates.

	1% Decrease (5.75%)	Healthcare Cost Trend Rate (6.75%)	1% Increase (7.75%)
Total OPEB liability	\$ 2,273,249	2,494,295	2,759,243

OPEB Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB - For the year ended June 30, 2020, the District recognized OPEB expense of \$289,138. At June 30, 2020, the District reported deferred inflows of resources related to OPEB from the following resources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 296,129	-
Changes in assumptions	354,688	27,350
Total	<u>\$ 650,817</u>	<u>27,350</u>

The amount reported as deferred outflows of resources related to OPEB will be recognized as OPEB expense as follows:

Year Ended June 30,	Amount
2020	\$ 67,869
2021	67,869
2022	67,869
2023	67,869
2024	67,869
Thereafter	<u>284,122</u>
Total	<u>\$ 623,467</u>

(9) Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the Area Education Agency. The District's actual amount for this purpose totaled \$1,984,635 for the year ended June 30, 2020 and is recorded in the General Fund by making a memorandum adjusting entry to the cash basis financial statements.

(10) Risk Management

Burlington Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years. There have been no significant reductions in insurance coverage from the prior year.

(11) Categorical Funding

In accordance with Iowa Administrative Code Section 98.1, categorical funding is financial support from the state and federal governments targeted for particular categories of students, special programs, or special purposes. This support is in addition to school district or area education agency general purpose revenue, for purposes beyond the basic educational program and most often has restrictions on its use. Any portion of categorical funding provided by the state that is not expended by the end of the fiscal year must be carried forward as a restricted fund balance.

The following is a schedule of the categorical funding restricted in the General Fund at June 30, 2020.

Program	Amount
Home School Assistance Program (HSAP)	\$ 213,359
Gifted and Talented Programs	89,155
Teacher Leadership State Aid	205,208
Four-Year-Old Preschool State Aid	607,450
Beginning Administrator Mentoring & Induction	1,350
Successful Progression for Early Readers	34,567
Prof Development for Model Core Curriculum	87,780
Professional Development	160,782
Total	<u>\$ 1,399,651</u>

(12) Reconciliation of Governmental Fund Balances to Net Position

Detailed reconciliation of certain governmental fund balances to net position is as follows:

	Net investment in Capital Assets	Unassigned/ Unrestricted
Fund balance (Exhibit C)	\$ -	11,752,831
Capital assets, net of accumulated depreciation	72,910,493	-
Revenue bond capitalized indebtedness	(20,240,000)	-
Assigned fund balance	-	214,614
Internal service fund balance	-	947,605
Nonspendable fund balance	-	6,750
Compensated absences	-	(219,788)
Pension related deferred outflows	-	4,909,083
Pension related deferred inflows	-	(4,242,255)
Net pension liability	-	(20,734,885)
Total OPEB liability	-	(2,479,579)
OPEB related deferred outflows	-	646,977
OPEB related deferred inflows	-	(27,189)
Net position (Exhibit A)	<u>\$ 52,670,493</u>	<u>(9,225,836)</u>

(13) Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Tax Abatements of Other Entities

Other entities within the District provide tax abatements for urban renewal projects pursuant to Chapters 15 and 403 of the Code of Iowa. Additionally, the City of West Burlington and Des Moines County offered an urban revitalization tax abatement program pursuant to Chapter 404 of the Code of Iowa. With prior approval by the governing body, this program provides for an exemption based on a percentage of the actual value added by improvements.

Property tax revenues of the District were reduced the following amounts for the year ended June 30, 2020 under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Burlington	Urban Renewal	\$ 468,140
City of West Burlington	Urban Renewal	23,551
City of West Burlington	Urban revitalization	2,063
Des Moines County	Urban revitalization	128,963

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2020, this reimbursement amounted to \$213,076.

(14) COVID-19

In March 2020, the COVID-19 outbreak was declared a global pandemic. The disruption to businesses across a range of industries in the United States continues to evolve. The full impact to local, regional and national economies, including that of the Burlington Community School District, remains uncertain.

To date, the outbreak created a disruption to the operations of the Burlington Community School District due to the closure of school buildings and the move to virtual learning to complete the 2019-2020 school year. However, the extent of the financial impact of COVID-19 will depend on future developments, including the spread of the virus, duration and timing of the economic recovery. Due to these uncertainties, management cannot reasonably estimate the potential impact to the Burlington Community School District's operations and finances.

Required Supplementary Information

BURLINGTON COMMUNITY SCHOOL DISTRICT
BUDGETARY COMPARISON SCHEDULE OF REVENUES, EXPENDITURES/EXPENSES AND
CHANGES IN BALANCES - BUDGET AND ACTUAL - ALL GOVERNMENTAL FUNDS
AND PROPRIETARY FUNDS
REQUIRED SUPPLEMENTARY INFORMATION
YEAR ENDED JUNE 30, 2020

	Governmental Funds Actual	Proprietary Funds Actual	Total Actual	Budgeted Amounts		Final to Actual Variance
				Original	Final	
Revenues:						
Local sources	\$ 16,463,252	285,195	16,748,447	17,694,907	17,694,907	(946,460)
State sources	36,064,961	12,754	36,077,715	37,398,943	37,398,943	(1,321,228)
Federal sources	4,463,596	1,240,915	5,704,511	5,450,000	5,450,000	254,511
Total revenues	56,991,809	1,538,864	58,530,673	60,543,850	60,543,850	(2,013,177)
Expenditures/Expenses:						
Instruction	34,752,366	-	34,752,366	36,570,000	36,570,000	1,817,634
Support services	14,497,500	-	14,497,500	18,007,000	18,007,000	3,509,500
Non-instructional programs	23,010	1,750,854	1,773,864	1,921,500	1,921,500	147,636
Other expenditures	5,578,032	-	5,578,032	6,968,422	6,968,422	1,390,390
Total expenditures/expenses	54,850,908	1,750,854	56,601,762	63,466,922	63,466,922	6,865,160
Excess (Deficiency) of revenues over (under) expenditures/expenses	2,140,901	(211,990)	1,928,911	(2,923,072)	(2,923,072)	4,851,983
Other financing sources, net	150,824	-	150,824	100,000	100,000	50,824
Excess (Deficiency) of revenues and other financing sources over (under) expenditures/expenses	2,291,725	(211,990)	2,079,735	(2,823,072)	(2,823,072)	4,902,807
Balances beginning of year	26,788,435	348,750	27,137,185	24,287,382	24,287,382	2,849,803
Balances end of year	\$ 29,080,160	136,760	29,216,920	21,464,310	21,464,310	7,752,610

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION - BUDGETARY REPORTING
YEAR ENDED JUNE 30, 2020

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except Private Purpose Trust and Agency Funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund. These four functions are instruction, support services, non-instructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides District expenditures in the General Fund may not exceed the amount authorized by the school finance formula.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF
THE NET PENSION LIABILITY
IOWA PUBLIC EMPLOYEES' RETIREMENT SYSTEM
FOR THE LAST SIX YEARS*
(IN THOUSANDS)
REQUIRED SUPPLEMENTARY INFORMATION

	2020	2019	2018	2017	2016	2015
District's proportion of the net pension liability	0.366880%	0.3371015%	0.382667%	0.398159%	0.399011%	0.406458%
District's proportionate share of the net pension liability	\$ 21,245	23,479	25,490	25,057	19,713	16,120
District's covered payroll	\$ 27,924	27,912	28,586	28,595	27,385	26,607
District's proportionate share of the net pension liability as a percentage of its covered payroll	76.08%	84.12%	89.17%	87.63%	71.98%	60.59%
IPERS' net position as a percentage of the total pension liability	85.45%	83.62%	82.21%	81.82%	85.19%	87.61%

* In accordance with GASB Statement No. 68, the amounts presented for each fiscal year were determined as of June 30 of the preceding year.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF DISTRICT CONTRIBUTIONS
IOWA PUBLIC EMPLOYEES' RETIREMENT SYSTEM
FOR THE LAST TEN YEARS
(IN THOUSANDS)
REQUIRED SUPPLEMENTARY INFORMATION

	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
Statutorily required contribution	\$ 2,637	2,636	2,493	2,553	2,554	2,445	2,376	2,207	1,932	1,664
Contributions in relation to the statutorily required contribution	\$ (2,637)	(2,636)	(2,493)	(2,553)	(2,554)	(2,445)	(2,376)	(2,207)	(1,932)	(1,664)
Contribution deficiency (excess)	-	-	-	-	-	-	-	-	-	-
District's covered payroll	\$ 27,934	27,924	27,912	28,586	28,595	27,385	26,607	25,456	23,941	23,942
Contributions as a percentage of covered payroll	9.44%	9.44%	8.93%	8.93%	8.93%	8.93%	8.93%	8.67%	8.07%	6.95%

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION - PENSION LIABILITY
YEAR ENDED JUNE 30, 2020

Changes of benefit terms:

There are no significant changes in benefit terms.

Changes of assumptions:

The 2019 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2019:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

The 2014 valuation implemented the following refinements as a result of a quadrennial experience study:

- Decreased the inflation assumption from 3.25% to 3.00%.
- Decreased the assumed rate of interest on member accounts from 4.00% to 3.75% per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Moved from an open 30-year amortization period to a closed 30-year amortization period for the UAL (unfunded actuarial liability) beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES IN THE DISTRICT'S
TOTAL OPEB LIABILITY, RELATED RATIOS AND NOTES
FOR THE LAST THREE YEARS
REQUIRED SUPPLEMENTARY INFORMATION

	2020	2019	2018
Service cost	\$ 138,145	146,369	122,623
Interest cost	83,124	89,959	64,098
Differences between expected and actual experiences	-	364,009	-
Changes in assumptions	191,623	221,278	(38,306)
Benefit payments	(308,217)	(151,043)	(192,671)
Net change in total OPEB liability	104,675	670,572	(44,256)
Total OPEB liability beginning of year	2,389,620	1,719,048	1,763,304
Total OPEB liability end of year	<u>\$ 2,494,295</u>	<u>2,389,620</u>	<u>1,719,048</u>
Covered-employee payroll	\$ 24,955,332	24,727,421	25,093,953
Total OPEB liability as a percentage of covered-employee payroll	10.00%	9.66%	6.85%

Notes to Schedule of Changes in the District's Total OPEB Liability and Related Ratios

Changes in benefit terms:

There were no significant changes in benefit terms.

Changes in assumptions:

Changes in assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period.

Reporting period ended June 30, 2020	2.21%
Reporting period ended June 30, 2019	3.50%
Reporting period ended June 30, 2018	3.87%
Reporting period ended June 30, 2017	3.58%

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.



Burlington Community School District

Supplementary Information

BURLINGTON COMMUNITY SCHOOL DISTRICT
 COMBINING BALANCE SHEET
 NONMAJOR GOVERNMENTAL FUNDS
 JUNE 30, 2020

	Special Revenue		
	Student Activity	Support Trust	Total
Assets			
Cash and pooled investments	\$ 324,140	740,507	1,064,647
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities:			
Accounts payable	\$ 10,771	297	11,068
Fund balances:			
Restricted for:			
Student activities	313,369	-	313,369
Support trust purposes	-	740,210	740,210
Total fund balances	313,369	740,210	1,053,579
Total liabilities, deferred inflows of resources and fund balances	\$ 324,140	740,507	1,064,647

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 COMBINING SCHEDULE OF REVENUES, EXPENDITURES AND
 CHANGES IN FUND BALANCES
 NONMAJOR GOVERNMENTAL FUNDS
 YEAR ENDED JUNE 30, 2020

	Special Revenue		
	Student Activity	Support Trust	Total
Revenues:			
Local sources:			
Other	\$ 222,404	18,695	241,099
Expenditures:			
Current:			
Instruction:			
Regular	-	41,369	41,369
Other	223,060	3,296	226,356
Total expenditures	223,060	44,665	267,725
Deficiency of revenues under expenditures	(656)	(25,970)	(26,626)
Fund balances beginning of year	314,025	766,180	1,080,205
Fund balances end of year	\$ 313,369	740,210	1,053,579

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 COMBINING BALANCE SHEET
 CAPITAL PROJECTS FUND ACCOUNTS
 JUNE 30, 2020

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Assets			
Cash and pooled investments	\$ 6,577,878	1,357,785	7,935,663
Receivables:			
Property tax:			
Delinquent	-	11,035	11,035
Succeeding year	-	1,138,140	1,138,140
Due from other governments	361,140	-	361,140
Total assets	\$ 6,939,018	2,506,960	9,445,978
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities:			
Accounts payable	\$ 83,712	15,491	99,203
Salaries and benefits payable	-	11,751	11,751
Total liabilities	83,712	27,242	110,954
Deferred inflows of resources:			
Unavailable revenues:			
Succeeding year property tax	-	1,138,140	1,138,140
Fund balances:			
Restricted for:			
School infrastructure	6,855,306	-	6,855,306
Physical plant and equipment	-	1,341,578	1,341,578
Total fund balances	6,855,306	1,341,578	8,196,884
Total liabilities, deferred inflows of resources and fund balances	\$ 6,939,018	2,506,960	9,445,978

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 COMBINING SCHEDULE OF REVENUES, EXPENDITURES
 AND CHANGES IN FUND BALANCES
 CAPITAL PROJECTS FUND ACCOUNTS
 YEAR ENDED JUNE 30, 2020

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Revenues:			
Local sources:			
Local tax	\$ -	1,071,325	1,071,325
Other	65,656	8,603	74,259
State sources	4,291,152	35,033	4,326,185
Total revenues	4,356,808	1,114,961	5,471,769
Expenditures:			
Current:			
Instruction:			
Regular	15,329	-	15,329
Support services:			
Instructional staff	22,225	66,039	88,264
Operation and maintenance of plant	-	134,730	134,730
Transportation	-	215,875	215,875
Capital outlay	157,768	677,800	835,568
Total expenditures	195,322	1,094,444	1,289,766
Excess of revenues over expenditures	4,161,486	20,517	4,182,003
Other financing sources (uses):			
Proceeds from the sale of equipment	-	7,550	7,550
Transfer out	(2,990,695)	-	(2,990,695)
Total other financing sources (uses)	(2,990,695)	7,550	(2,983,145)
Change in fund balances	1,170,791	28,067	1,198,858
Fund balances beginning of year	5,684,515	1,313,511	6,998,026
Fund balances end of year	\$ 6,855,306	1,341,578	8,196,884

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES IN SPECIAL REVENUE FUND, STUDENT ACTIVITY ACCOUNTS
YEAR ENDED JUNE 30, 2020

Account	Balance Beginning of Year	Revenues	Expenditures	Balance End of Year
<u>Senior High School:</u>				
Activity	\$ 8,658	-	1,252	7,406
AP Club	707	-	707	-
Art Club	1,737	-	-	1,737
Band	2,110	5,330	2,048	5,392
BPA Club	-	725	425	300
Cheerleading	7,246	9,936	5,546	11,636
Coffee Shop	2,300	271	650	1,921
Color Guard	18	-	-	18
DECA	-	650	171	479
Dream Catchers	15	2,500	-	2,515
Ecology Club	2,002	100	-	2,102
FCCLA (HERO)	4,041	485	1,477	3,049
Future Grayhound Basketball	4,952	-	-	4,952
Future Grayhound Swimming	200	-	-	200
General Athletics	70,496	24,313	28,011	66,798
GLSA Club	97	-	-	97
Grayhound Graphics	479	315	-	794
Hounds for Help	784	1,000	299	1,485
IA Club	-	1,055	-	1,055
International Club	258	-	-	258
Jazz Band	78	-	-	78
Junior Class	8,902	172	2,588	6,486
Kiwanis Key Club	270	46	-	316
Math Club	26	-	-	26
Manufacturing Club	-	125	125	-
Middle School Athletics	8,002	14,640	12,613	10,029
Music/Drama	5,239	2,565	1,143	6,661
National Honor Society	-	385	385	-
Orchestra	118	1,273	1,391	-
Pathfinder	2,128	10,646	453	12,321
Purple & Gray	184	50	184	50
Renaissance Store	980	2,928	3,908	-
SC Fundraisers	263	-	263	-
Senior Class	7,548	-	-	7,548
Sophomore Class	247	-	-	247
Student Council	11,181	6,495	11,267	6,409
Swing Dance	427	-	-	427
Tech Student Association	2,434	615	276	2,773
Varsity Club	11,701	18,278	12,798	17,181
Vocal	3,985	-	745	3,240

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

SCHEDULE 5

<u>Account</u>	<u>Balance Beginning of Year</u>	<u>Revenues</u>	<u>Expenditures</u>	<u>Balance End of Year</u>
<u>Boys Athletics:</u>				
Baseball	11,812	11,947	17,342	6,417
Basketball	13,337	11,428	8,145	16,620
Bowling	685	-	120	565
Cross Country	55	1,175	1,230	-
Football	53,963	33,048	53,491	33,520
Golf	911	3,282	4,193	-
Soccer	3,644	352	-	3,996
Swimming	10,641	11,058	3,436	18,263
Tennis	264	451	715	-
Track	574	773	1,347	-
Wrestling	2,032	5,054	6,140	946
<u>Girls Athletics:</u>				
Basketball	4,942	7,091	10,033	2,000
Golf	427	-	-	427
Soccer	3,417	327	-	3,744
Softball	-	10,742	10,527	215
Swimming	1,453	3,459	3,011	1,901
Tennis	975	-	-	975
Track	1,489	1,584	1,361	1,712
Volleyball	1,792	10,827	7,989	4,630
<u>Other Buildings:</u>				
Black Hawk	3,870	1,985	2,799	3,056
Corse	246	-	-	246
Grimes	646	123	92	677
James Madison	12,590	1,185	1,877	11,898
North Hill	1,314	1	-	1,315
Oak Street	13,133	1,614	487	14,260
Total	\$ 314,025	222,404	223,060	313,369

BURLINGTON COMMUNITY SCHOOL DISTRICT
 SCHEDULE OF CHANGES IN SPECIAL REVENUE FUND, SUPPORT TRUST ACCOUNTS
 YEAR ENDED JUNE 30, 2020

Account	Net Position Beginning of Year	Additions	Deductions	Net Position End of Year
Gueglar Trust	\$ 14,410	-	-	14,410
John H. Witte Foundation	1	-	-	1
Dorothy Lind Music	345,124	25	27,266	317,883
Burlington Education Foundation	3,971	14,022	14,103	3,890
Wedertz Music	55	-	-	55
Wagner Softball Field	3,233	63	3,296	-
Wayne Duke Baseball Field	2,244	-	-	2,244
James Anders	133,465	4,544	-	138,009
Stiefel Athletic Track	11,357	41	-	11,398
Bell Trust	252,320	-	-	252,320
Total	\$ 766,180	18,695	44,665	740,210

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 SCHEDULE OF CHANGES PRIVATE PURPOSE TRUST FUND, SCHOLARSHIP ACCOUNTS
 YEAR ENDED JUNE 30, 2020

Account	Net Position Beginning of Year	Additions	Deductions	Net Position End of Year
Miscellaneous Scholarship	\$ 1,681	-	-	1,681
Adams Scholarship	34,303	64	-	34,367
Farr Scholarship	70	-	-	70
E. Bedell Scholarship	1,118	15	-	1,133
Haberichter Scholarship	660	6	-	666
Minority Scholarship	200	-	-	200
Johannsen Scholarship	10,811	63	200	10,674
Perrine Scholarship	2,000	-	150	1,850
Wehman Scholarship	4,751	61	-	4,812
Student Council Scholarship	1,179	-	550	629
Ecology Scholarship	508	-	-	508
Huppenbauer Science Scholarship	6,313	-	594	5,719
Berquist Music Scholarship	17,817	-	-	17,817
Jefferson Nurse Scholarship	450	-	-	450
FCCLA Scholarship	3,000	-	-	3,000
Bila Scholarship	277	-	-	277
Total	<u>\$ 85,138</u>	<u>209</u>	<u>1,494</u>	<u>83,853</u>

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF REVENUES BY SOURCE AND EXPENDITURES BY FUNCTION
ALL GOVERNMENTAL FUNDS
FOR THE LAST TEN YEARS

	Modified Accrual Basis									
	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
Revenues:										
Local sources:										
Local tax	\$ 14,669,263	15,281,832	15,109,698	14,414,004	14,352,078	13,728,463	13,247,611	17,829,755	17,686,041	18,141,425
Tuition	766,192	908,880	798,301	734,594	666,068	773,989	747,319	842,761	888,290	844,437
Other	1,027,797	1,170,962	1,241,246	860,478	1,270,050	2,136,096	919,649	1,168,439	1,097,340	1,236,677
State sources	36,064,961	36,209,246	37,281,697	37,857,761	38,162,654	38,633,289	35,713,620	28,951,262	27,776,422	26,764,662
Federal sources	4,463,596	4,111,757	3,701,263	3,685,850	3,462,529	3,523,851	3,667,089	3,457,367	3,743,517	4,152,096
Total	\$ 56,991,809	57,682,677	58,132,205	57,552,687	57,913,379	58,795,688	54,295,288	52,249,584	51,191,610	51,139,297
Expenditures:										
Instruction:										
Regular	\$ 20,908,020	21,837,640	21,803,196	21,932,930	22,030,385	21,265,845	21,038,676	19,880,112	18,657,669	19,000,323
Special	8,303,688	7,902,121	7,299,380	8,197,497	8,509,365	8,374,707	9,004,603	8,563,453	7,802,586	7,537,060
Other	5,540,658	5,183,846	5,436,422	5,038,393	4,275,462	4,073,374	4,407,776	4,167,126	4,109,730	4,274,692
Support services:										
Student	1,896,911	1,689,809	1,755,377	1,862,621	1,877,041	2,036,219	1,942,209	1,879,602	1,771,981	1,690,262
Instructional staff	1,941,586	2,421,349	2,648,208	2,474,561	2,731,018	2,283,938	1,065,944	1,028,208	1,125,093	1,357,465
Administration	4,913,602	5,069,078	5,260,444	5,559,996	5,281,751	5,012,281	4,982,721	4,888,832	4,331,694	4,207,196
Operation and maintenance of plant	4,162,047	4,512,444	4,263,140	3,955,927	3,699,216	3,884,968	3,845,625	3,746,172	3,273,056	3,224,202
Transportation	1,583,354	1,456,603	1,436,788	1,489,247	1,523,144	1,451,216	1,482,560	1,410,024	1,301,984	1,181,520
Non-instructional programs	23,010	21,620	41,799	32,122	40,610	56,062	39,651	18,266	21,283	39,689
Capital outlay	835,568	1,030,789	1,109,633	1,120,453	1,055,201	1,814,612	2,368,609	2,111,402	4,622,937	10,350,553
Long-term debt:										
Principal	1,910,000	1,860,000	1,815,000	1,760,000	1,730,000	1,695,000	1,655,000	1,695,000	-	-
Interest	847,829	917,621	985,677	1,052,328	1,112,015	1,166,453	1,221,302	1,145,587	1,418,345	1,418,345
Other expenditures:										
AEA flowthrough	1,984,635	1,991,867	2,005,193	1,965,000	2,011,978	2,009,543	1,909,154	1,752,703	1,702,734	1,882,597
Total	\$ 54,850,908	55,894,787	55,860,257	56,441,075	55,877,186	55,124,218	54,963,830	52,286,487	50,139,092	56,163,904

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

**BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
YEAR ENDED JUNE 30, 2020**

GRANTOR/PROGRAM	CFDA NUMBER	PASS-THROUGH ENTITY IDENTIFYING NUMBER	PROGRAM EXPENDITURES
U.S. DEPARTMENT OF AGRICULTURE:			
IOWA DEPARTMENT OF EDUCATION:			
CHILD NUTRITION CLUSTER:			
SCHOOL BREAKFAST PROGRAM	10.553	FY 20	\$ 159,395
NATIONAL SCHOOL LUNCH PROGRAM	10.555	FY 20	1,057,457 *
SUMMER FOOD SERVICE PROGRAM FOR CHILDREN	10.559	FY 20	24,063
			<u>1,240,915</u>
U.S. DEPARTMENT OF JUSTICE:			
IOWA DEPARTMENT OF PUBLIC HEALTH:			
JUVENILE MENTORING PROGRAM	16.726	FY 20	<u>52,052</u>
U.S. DEPARTMENT OF EDUCATION:			
IOWA DEPARTMENT OF EDUCATION:			
TITLE I GRANTS TO LOCAL EDUCATIONAL AGENCIES	84.010	FY 20	<u>1,435,425</u>
CAREER AND TECHNICAL EDUCATION - BASIC GRANTS TO STATES	84.048	FY 20	<u>76,330</u>
EDUCATION FOR HOMELESS CHILDREN AND YOUTH	84.196	FY 20	<u>17,667</u>
TWENTY-FIRST CENTURY COMMUNITY LEARNING CENTERS	84.287	FY 20	<u>413,932</u>
SPECIAL EDUCATION - STATE PERSONNEL DEVELOPMENT	84.323	FY 20	<u>256</u>
RURAL EDUCATION	84.358	FY 20	<u>37,156</u>
SUPPORTING EFFECTIVE INSTRUCTION STATE GRANTS	84.367	FY 20	<u>192,064</u>
STUDENT SUPPORT AND ACADEMIC ENRICHMENT PROGRAM	84.424	FY 20	<u>69,031</u>
EDUCATION STABILIZATION FUND	84.425	FY 20	<u>990,489</u>
GREAT PRAIRIE AREA EDUCATION AGENCY:			
SPECIAL EDUCATION - GRANTS TO STATES	84.027	FY 20	<u>219,622</u>
ENGLISH LANGUAGE ACQUISITION STATE GRANTS	84.365	FY 20	<u>977</u>
IOWA VOCATIONAL REHABILITATION SERVICES:			
REHABILITATION SERVICES VOCATIONAL REHABILITATION GRANTS TO STATE	84.126	FY 20	<u>48,460</u>
U.S. DEPARTMENT OF HEALTH AND HUMAN SERVICES:			
IOWA DEPARTMENT OF EDUCATION:			
FOSTER CARE TITLE IV-E	93.658	FY 20	<u>1,836</u>
CORPORATION FOR NATIONAL AND COMMUNITY SERVICE:			
IOWA DEPARTMENT OF PUBLIC HEALTH:			
AMERICORPS	94.006	FY 20	<u>7,376</u>
U.S. DEPARTMENT OF HOMELAND SECURITY:			
FEDERAL EMERGENCY MANAGEMENT AGENCY:			
STATE OF IOWA:			
PUBLIC ASSISTANCE GRANTS (FEMA DISASTER ASSISTANCE)	97.036	FY 20	<u>28,566</u>
TOTAL			<u>\$ 4,832,154</u>

* - Includes \$141,693 of non-cash awards

Basis of Presentation - The accompanying Schedule of Expenditures of Federal Awards (Schedule) includes the federal award activity of Burlington Community School District under programs of the federal government for the year ended June 30, 2020. The information on this Schedule is presented in accordance with the requirements of Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance). Because the Schedule presents only selected portion of the operations of Burlington Community School District, it is not intended to and does not represent the financial position, changes in financial position or cash flows of Burlington Community School District.

Summary of Significant Accounting Policies - Expenditures reported in the Schedule are reported on the accrual or modified accrual basis of accounting. Such expenditures are recognized following, as applicable, either the cost principles in OMB Circular A-87, Cost Principles for State, Local and Indian Tribal Governments, or the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowed or are limited as to reimbursement.

Indirect Cost Rate - Burlington Community School District does not use a federally negotiated indirect cost rate as allowed under the Uniform Guidance.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
117 West 3rd Street North, Newton, Iowa 50208-3040
Telephone (641) 792-1910

**Independent Auditor's Report on Internal Control
over Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in Accordance with
Government Auditing Standards**

To the Board of Education of Burlington Community School District:

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in Government Auditing Standards issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business type activities, each major fund, and the aggregate remaining fund information of Burlington Community School District, as of and for the year ended June 30, 2020, and the related Notes to Financial Statements, which collectively comprise Burlington Community School District's basic financial statements, and have issued our report thereon dated March 15, 2021.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Burlington Community School District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Burlington Community School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Burlington Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the District's financial statement will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Burlington Community School District's financial statements are free from material misstatements, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under Government Auditing Standards.

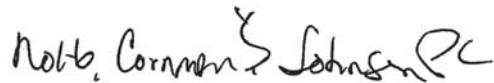
Burlington Community School District's Responses to Findings

Burlington Community School District's responses to the findings identified in our audit are described in the accompanying Schedule of Findings and Questioned Costs. Burlington Community School District's responses were not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on them.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with Government Auditing Standards in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

We would like to acknowledge the many courtesies and assistance extended to us by personnel of Burlington Community School District during the course of our audit. Should you have any questions concerning any of the above matters, we shall be pleased to discuss them with you at your convenience.



NOLTE, CORNMAN & JOHNSON, P.C.

March 15, 2021
Newton, Iowa

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
117 West 3rd Street North, Newton, Iowa 50208-3040
Telephone (641) 792-1910

**Independent Auditor's Report on Compliance
for Each Major Federal Program and on Internal Control over Compliance
Required by the Uniform Guidance**

To the Board of Education of Burlington Community School District:

Report on Compliance for Each Major Federal Program

We have audited Burlington Community School District's compliance with the types of compliance requirements described in U.S. Office of Management and Budget (OMB) Compliance Supplement that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2020. Burlington Community School District's major federal programs are identified in Part I of the accompanying Schedule of Findings and Questioned Costs.

Management's Responsibility

Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Burlington Community School District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with U.S. generally accepted auditing standards, the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States, and the audit requirements of Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether non-compliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about Burlington Community School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe our audit provides a reasonable basis for our opinion on compliance for each of the major federal programs. However, our audit does not provide a legal determination of Burlington Community School District's compliance.

Opinion on Each Major Federal Program

In our opinion, Burlington Community School District complied, in all material respects, with the types of requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2020.

Report on Internal Control Over Compliance

Management of Burlington Community School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered Burlington Community School District's internal control over compliance with the type of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of Burlington Community School District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.



NOLTE, CORNMAN & JOHNSON, P.C.

March 15, 2021
Newton, Iowa

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED JUNE 30, 2020

Part I: Summary of the Independent Auditor's Results:

- (a) Unmodified opinions were issued on the financial statements prepared in accordance with U.S. generally accepted accounting principles.
- (b) No material weaknesses in internal control over financial reporting were disclosed by the audit of the financial statements.
- (c) The audit did not disclose any noncompliance which is material to the financial statements.
- (d) No material weaknesses in internal control over major programs were noted.
- (e) An unmodified opinion was issued on compliance with requirements applicable to each major program.
- (f) The audit disclosed no audit findings which were required to be reported in accordance with the Uniform Guidance, Section 200.516.
- (g) Major programs were as follows:
 - Child Nutrition Cluster
 - CFDA Number 84.425 - Education Stabilization Fund
 - CFDA Number 84.287 - Twenty-First Century Community Learning Centers
- (h) The dollar threshold used to distinguish between Type A and Type B programs was \$750,000.
- (i) Burlington Community School District qualified as a low-risk auditee.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED JUNE 30, 2020

Part II: Findings Related to the Financial Statements:

INSTANCES OF NON-COMPLIANCE:

No matters were noted.

INTERNAL CONTROL DEFICIENCY:

No matters were noted.

Part III: Findings and Questioned Costs For Federal Awards:

INSTANCES OF NON-COMPLIANCE:

No matters were noted.

INTERNAL CONTROL DEFICIENCIES:

No material weaknesses in internal control over the major programs were noted.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED JUNE 30, 2020

Part IV: Other Findings Related to Required Statutory Reporting:

IV-A-20 Certified Budget - District disbursements for the year ended June 30, 2020 did not exceed the certified budgeted amounts.

IV-B-20 Questionable Expenditures - No expenditures we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979 were noted.

IV-C-20 Travel Expense - No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-20 Business Transactions - Business transactions between the District and District officials are noted as follows:

Name, Title and Business Connection	Transaction Description	Amount
Adam Glasgow, Teacher Owner of Greyhound Painting	Services-Painting	\$ 78,865

In accordance with an Attorney General's opinion dated July 2, 1990, the above transactions with the District employee do not appear to represent a conflict of interest.

IV-E-20 Restricted Donor Activity - No transactions were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

IV-F-20 Bond Coverage - Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to ensure that the coverage is adequate for current operations.

IV-G-20 Board Minutes - We noted no transactions requiring Board approval which have not been approved by the Board.

IV-H-20 Certified Enrollment - We noted the enrollment certified to the Iowa Department of Education appears to have been overstated by 0.14 students.

Recommendation - The Iowa Department of Education and the Iowa Department of Management should be contacted to resolve this matter.

Response - The District's auditors will contact the Iowa Department of Education and the Iowa Department of Management to resolve this matter.

Conclusion - Response accepted.

IV-I-20 Supplementary Weighting - We noted the supplementary weighting certified to the Iowa Department of Education appears to have been understated by 0.114.

Recommendation - The Iowa Department of Education and the Iowa Department of Management should be contacted to resolve this matter.

Response - The District's auditors will contact the Iowa Department of Education and the Iowa Department of Management to resolve this matter.

Conclusion - Response accepted.

- IV-J-20 Deposits and Investments - No instances of non-compliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.
- IV-K-20 Certified Annual Report - The Certified Annual Report was filed with the Iowa Department of Education timely and we noted no significant deficiencies in the amounts reported.
- IV-L-20 Categorical Funding - No instances were noted of categorical funding used to supplant rather than supplement other funds.
- IV-M-20 Statewide Sales, Services and Use Tax - No instances of non-compliance with the allowable uses of the statewide sales, services and use tax revenue provided in Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales, services and use tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2020, the District reported the following information regarding the statewide sales, services and use tax revenue in the District's CAR:

Beginning balance		\$ 5,684,515
Revenues:		
Sales tax revenues	\$ 4,291,152	
Other local revenues	<u>65,656</u>	<u>4,356,808</u>
Expenditures/transfers out:		
School infrastructure construction	157,768	
Equipment	15,329	
Other	22,225	
Transfers to other funds:		
Debt service fund	<u>2,990,695</u>	<u>3,186,017</u>
Ending balance		<u><u>\$ 6,855,306</u></u>

For the year ended June 30, 2020, the District did not reduce any levies as a result of the monies received under Chapter 423E or 423F of the Code of Iowa.

- IV-N-20 Board Policies - We noted during our audit instances of District board policies which do not appear to have been reviewed and/or updated within the past five years. According to Iowa Administrative Code Chapter 281-12.3(2), *"Policies shall be reviewed at least every five years to ensure relevance to current practices and compliance with the Iowa Code, administrative rules and decisions, and court decisions."*

Recommendation - The District should review its official board policies and update all policies that have not been updated within the last five years. The District should also review procedures and take steps to ensure board policies are reviewed in a timely manner in accordance with Chapter 281-12.3(2) of the Iowa Administrative Code.

Response - The District is working with legal counsel to review and update all Board policies and is implementing a schedule to review on a regular basis. The policies that are out of date are currently being reviewed.

Conclusion - Response accepted.